

OCT/NOV 22 V12

1-A

- A- A most important function of money is that it performs the function of “medium of exchange”, this is why, it becomes correct. Other functions of money include: store of value, standard of deferred payments, and unit of account.
- B- Divisibility is a characteristic of money and not a function, this is why, this becomes incorrect.
- C- When money performs the function of medium of exchange, it overcomes the problem of “double co incidence of wants” and hence prevents bartering from taking place. This is why, this becomes incorrect.
- D- Money especially liquid cash does not maintain its value in a period of high inflation, and importantly, this is not the function of money either ,thus making this incorrect

2-B:

A: A mixture of private and central decision making determines resource allocation in a mixed economy and not a planned economy

B: In a planned economy, all resource ownership and decision-making is in the hands of the public sector, thus making it correct.

C: Forces of demand and supply represent “ price-mechanism” and it is in a free-market economy that price mechanism is used to determine resource allocation of scarce resources.

D: The revenue generated from direct and indirect taxes does not determine resource allocation in a planned economy. This represents government intervention and the collection of funds that are used by the government to achieve certain objectives.

3-A:

A: A particular good is rival when consumption by one individual reduces the amount available for others to consume. If an individual chooses to consume ice-cream and purchases it from a store where there are 2 packets of the particular ice cream left, this will reduce the amount available for others to consume, which certainly makes it “rivalrous”, and in turn this becomes correct.

B: Street lightning exhibits the characteristics of non-rivalry, as consumption by one individual does not reduce the amount available for others to consume.

C: The same goes for radio broadcasts. -Radio broadcasts represent **public good** as the broadcasting is non-rival and non-excludable. The broadcasting can be heard by many people at the same time without reducing the chance of others, which makes it non-rivalrous.

D: The internet can be non-rivalrous to an extent, as it has the capacity to accommodate a very large number of people ,worldwide, without reducing the ability of others to consume the facility. Although, at peak usage times, especially in congested sections of the network, users may receive a degraded experience.

4-B:

A: This is a fact-based statement as subsidies are seen to increase supply of goods, thus making it a positive statement.

B: This is an opinionated statement as it claims negative externalities to be “the most serious form of market failure”. The usage of the word “ **most**” represents a normative statement, thus making it correct.

C: A rise in incomes is said to increase the demand for normal goods, since there is a positive relationship between incomes and demand for normal goods, thus making this a positive statement.

D: A rise in the additional rate of income tax will decrease the incentives to work, as individuals will be discouraged to work over time or seek promotion, knowing that a greater proportion of their extra income earned will be taken in tax. This is a fact that higher income tax acts as a “disincentive to work” which makes it a positive statement.

5-B

There is a movement from point X, that is, inside the PPC representing actual or in other words, under-utilization of resources to point Y, that is on the PPC, representing the “potential of an economy”, operating on which represents the economy as being productively efficient.

A: The output of consumer goods has remained unchanged, which makes it evident that “current living standards have remained same.”

B: Since a greater output of capital goods is being produced alongside the same output of consumer goods, this represents a rise in efficiency, this is why, this becomes correct.

C: Movement from actual to potential, represents a fall in unemployment, as now the economy will be experiencing full employment.

D: OR of consumer goods is still being produced, which makes it evident that “OR of consumer goods” is not the opportunity cost.

6-D:

An indirect tax is a tax on goods and services, which when imposed, will increase the costs of production of a good, causing a decrease in supply.

As a result of shortage and producer's attempts to pass burden in form of higher prices, when the equilibrium price “increases” and that too by a relatively higher percentage when the demand for them is “inelastic” (as in that case, the producer can afford to pass majority of the burden to consumers in form of higher prices), this represents that the consumer burden will be higher than the producer burden.

But, since the demand is inelastic, a higher percentage increase in prices, will bring about a contraction in qty demanded by a relatively smaller percentage, representing a rise in “Total expenditure”

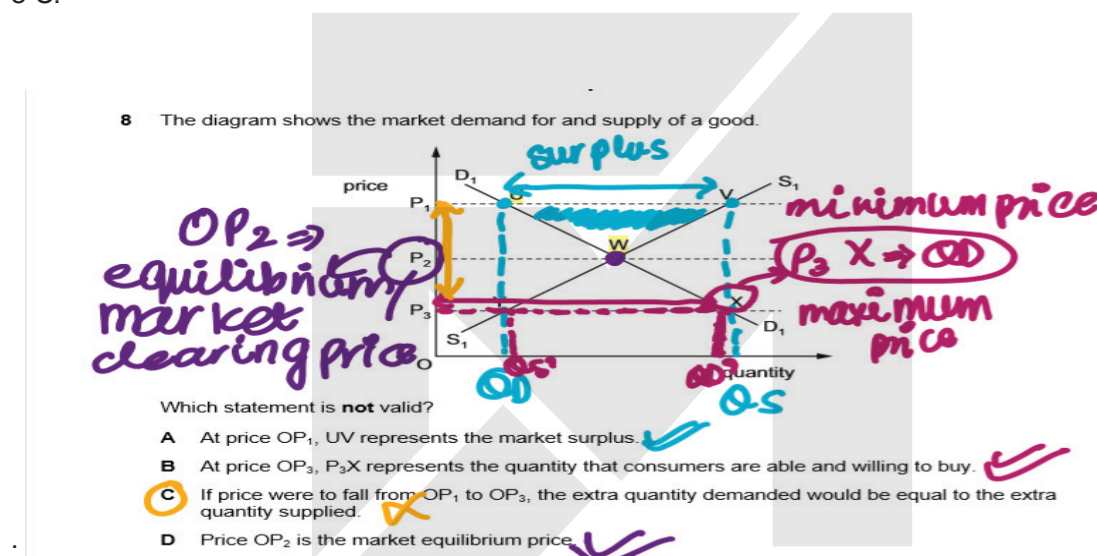
This is why, D becomes the answer.

7-D:

$$\begin{aligned} \hookrightarrow \frac{\% \text{ change in } Q_S}{\% \text{ change in price}} &= P_{ES} \\ \hookrightarrow \frac{x\%}{20\%} &= +1.5 \\ x &= 20 \times 1.5 = 30\% \end{aligned}$$

The calculation above explains why D will be the answer.

8-C:



A – At price level of OP_1 , that is the **minimum price**, it is true that ‘UV’ represents the surplus.

B-At price level of OP_3 , that represents the maximum price, the quantity that consumers would like to buy or the quantity demanded, when measured from the origin would give ‘ P_3X ’ the answer.

C-If prices were to fall from OP_1 to OP_3 , that represents a change from minimum price legislation to maximum price legislation, the surpluses that existed would convert into shortages, or in other words, the quantity supplied would contract, and quantity demanded would extend, which means that this statement that says “**the extra qty demanded would be equal to the extra quantity supplied**” is not valid. This is why, this option is correct.

D-This is true that OP_2 is the market equilibrium price, but in this question, we are interested in the option which is invalid.

9-D:

A: The PES for both the curves is unitary elastic, which means $PES = 1$, throughout the length of the curve, making this incorrect.

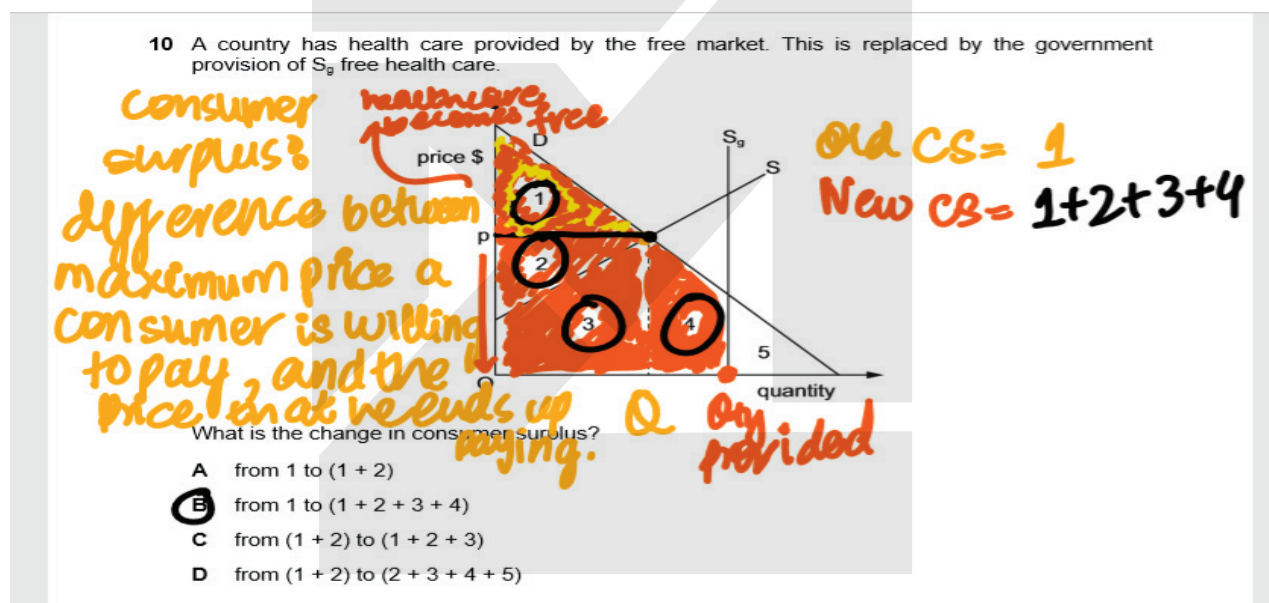
B: Since the curve begins from origin, the PES for both these curves is unitary elastic, representing $PES = 1$.

C: Again, as mentioned above PES will be unitary elastic, and not elastic or inelastic.

D: Since the curve begins from origin, it is correct to say that the PES is unitary elastic at every point along both S_1 and S_2 . Them beginning from the origin represents that the percentage change in price (vertical axis) is equal to the percentage change in qty supplied (horizontal axis), representing $PES = 1$.

10-B:

Consumer surplus is the area above the market price and below the demand curve.



11-C:

A: An alternative brand of smartphone is a “substitute good” and not a “complement”

B: Similarly, a PC is also a “substitute good”

C: Headphones that can be used with a smart phone is a complement or a jointly demanded good, thus making it correct.

D: The metals used in the production process of smartphone is not complement either; instead it is a raw material.

12-B

A: A good having a high opportunity cost does not represent a high price elasticity of supply.

B: If a particular good has a high price elasticity of supply, this means that there will be a greater stock of manufactured goods available due to **it being non-perishable, making it easier for it to be stored**, that can be released upon a rise in demand, to cater additional demand, thus making the supply more elastic, in response to changes in demand. This is why, this is correct.

C and D: A good classed as inferior or normal(luxury good) does not make a particular good price elastic.

13-A:

We are interested in an option that brings 'a change in the position of the demand curve' **,which means that it results in a shift in the demand curve**. And also, it should result in the position of supply curve to be unchanged, that is, it does not bring a shift in the supply curve. This means that **,it should result in a movement along the supply curve**

A-A change in incomes of potential consumers brings a shift in the demand curve, as a result of which, there is a change in price, and in turn a movement along the supply curve, which is why this option is correct.

B-A change in price of ticket concerts does bring a movement along the supply curve according to the 'law of supply', but does not bring a shift in the demand curve, which makes this option incorrect.

C-A change in rents charged by venue owners directly affects the costs, in turn causing a shift in the supply curve, as a result of which the position of the supply curve changes, therefore this option is incorrect.

D-A change in seating capacity of concert venues leads to a rightward or a leftward shift in the perfectly inelastic supply curve. This option is wrong.

14-C:

A: The demand for restaurants is elastic for Lee (1.2), whereas, it is inelastic for Yim (0.8)

If the prices of restaurants rise, the qty demanded in case of Lee will contract by a relatively higher percentage, leading to a fall in Total revenues. But, in case of Yim, qty demanded contracts by a relatively smaller percentage leading to a rise in Total revenues. The net effect as to whether the total incomes rose or fell, is uncertain.

B: If the prices of restaurants rise, the qty demanded in case of Lee will contract by a relatively higher percentage, leading to a fall in Total expenditure on restaurant. But, in case of cinemas, qty demanded contracts by a relatively smaller percentage leading to a rise in Total expenditures on cinemas.

Therefore, it cannot be said that Lee will spend more money on both products

C: In case of Yim, the demand for both the products is inelastic, this means that, upon a rise in prices, qty demanded will contract by a relatively smaller percentage, leading to a rise in Total expenditure. **Therefore, it is correct to say that Yim will spend more money on both the products.**

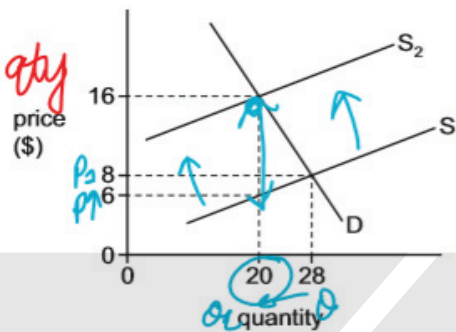
15-D: Consumption here represents the equilibrium qty.

[illegible]

16-C:

- 16 The diagram shows demand and supply curves for a good. S_1 is the original supply curve, S_2 is supply after a tax is added.

Tax Revenue $\Rightarrow$
per unit tax $\times$ new qty
 10×20
 $\Rightarrow$ 200



*vertical distance between the two supply curves = per unit tax
 $(16 - 6) = 10$
* New qty traded = 20

How much tax revenue is earned by the government?

- A \$40 B \$160 C \$200 D \$320

17-B:

A: Advertising expenditure of a firm contributes to the GDP, therefore, it can not be said as a transfer payment

B: The allowance given by a parent to a child is an example of transfer payment **because no goods or services are received in exchange, and no contribution is made by the child in the GDP, thus making it a transfer payment**

C: The rent paid to a landowner by a tenant is a payment made for economic activity.

D: Wage paid to worker is also a payment made for work done (services obtained)

18-D:

A: A single shareholder acquiring complete control of an organization is an example of takeover and not privatization

B: The purchase of govt bonds by a private sector organization for investment purposes does not make it an example of privatization.

C: The purchase of shares in a private company is also not an example of privatization.

D: Privatization is when government owned assets are transferred in the hands of private sector, thus making this correct.

19-B:

A: This represents a proportional tax . **A proportional tax is an income tax system that levies the same percentage tax to everyone regardless of income. A proportional tax is the same for low, middle, and high-income taxpayers.**

B: When low income earners pay a lesser proportion of their income in tax as compared to high income earners who pay a higher proportion of their income in tax, this represents a “progressive tax system”, this is why this becomes correct.

C: Generally, if we see that even if low income earners pay a higher proportion of their incomes in tax, the **total** amount they pay in tax may be less than high income earners. This is why, a judgement can **only be made after looking at the proportion of income paid in tax**

D: Again, a judgement can only be made **after looking at the proportion of income paid in tax.**

20-A:

A: A budget deficit is when government’s tax revenues are lesser ,implying that the rates of taxation have decreased, than government spending ,which has increased. This represents “expansionary fiscal policy”, which will lead to a rightward shift in the Aggregate demand curve ,thus making this correct.

B: A rise in consumer savings implies that consumption has also fallen, causing a decrease in Aggregate demand

C: Inflation in the economy ,may decrease real incomes that represent nominal incomes as they have been adjusted for inflation, and since real purchasing powers fall, consumption expenditure on goods and services may fall, resulting in a fall in Aggregate demand.

D: A rise in interest rate will increase the incentive to save, and reduce the consumption expenditure , leading to a fall in Aggregate demand.

21-D:

Inflation is defined as a sustained increase in the general price level of goods and services over time. It can have various effects on different groups of people in the economy. One of these effects is the **redistributive effect of inflation.**

The redistributive effect of inflation refers to the way in which inflation can redistribute wealth and income among different groups in the economy. In particular, inflation tends to reduce the **real value of fixed incomes, such as wages, pensions, and savings.** This means that **people on fixed incomes, such as retirees, may experience a loss of purchasing power as their incomes are not adjusted for inflation.**

Now let's go through each option:

A- The improvement in terms of trade is an effect of inflation, but is not regarded as a “re-distributive effect”

B- Deterioration of Balance of trade is an external effect of inflation , but is not a “re-distributive” effect.

C- The inconvenience of frequently changing prices: This is known as the "menu" cost of inflation, which refers to the costs that arise from having to adjust prices frequently due to inflation. This cost is also generally seen as a waste of resources, but it is not necessarily redistributive, as it affects all people equally. Therefore, this option is not the correct answer.

D- The loss of purchasing power of people on fixed incomes: This is the correct answer, as explained above. Inflation reduces the real value of fixed incomes, **which can be seen as a redistribution of wealth and income from people on fixed incomes to other groups in the economy.** This effect can be particularly hard on retirees or other people who depend on fixed incomes to support themselves. Therefore, this option is the correct answer.

22-C:

A: A rise in import expenditures relative to export revenues represent a Balance of Trade deficit

B: Terms of trade has nothing to do with volume of exports and imports.

C: Terms of trade is the ratio of export prices to the ratio of import prices. If prices of imports rise by less than the prices of exports, this means that export prices increase by a relatively higher percentage, reflecting an improvement in terms of trade.

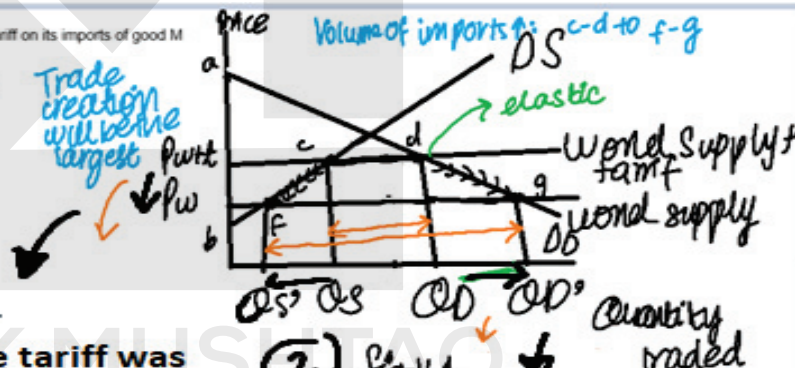
D: The rise in value of external payments than external receipts represents a current account of Balance of Payments deficit, thus making it incorrect.

23-B:

23 Country X joins a customs union with country Y and will remove the tariff on its imports of good M from country Y.

Under which conditions will trade creation in country X be the largest?

	existing size of country X's tariff on imports of good M	price elasticity of demand for good M in country X
A	large	-0.8
B	large	-1.4
C	small	-0.8
D	small	-1.4



① If the size of the tariff was higher initially, the prices will fall by a larger percentage upon the removal of the tariff, because of formation of the "custom union"

② And when the demand is inelastic ($PED = -1.4$), upon a fall in world price, the qty demanded will even extend by a relatively higher percentage.

③ The volume of imports therefore rise by a greater percentage from c-d to f-g, since the extension in qty demanded is by a higher percentage. This means that trade creation will be the "largest"

24-B:

A: Depreciation would lead to a fall in the prices of exports, thus making this incorrect

B: Depreciation when leads to exported goods appearing relatively cheaper and competitive, may lead to an extension in international qty demanded of exported goods, leading to a rise in **export volume**. This is why, this becomes correct.

C: Depreciation leads to a rise in the prices of imported goods, thus making this incorrect

D: Depreciation in the long run, may lead to a Balance of Trade surplus, since export revenues rise relative to import expenditures, due to exported goods becoming relatively cheaper and imported goods appearing relatively expensive, **when the sum of price elasticities of demand for imports and exports is elastic**. And, when this increases Aggregate demand, there is a rise in the general price level, namely "demand-pull inflation"

25:D:

25 From the same quantity of factors of production, country X and country Y each produce the following units of output:

X has an absolute advantage in textiles
Y has an absolute advantage in sugar.

country	sugar	textiles
X	30	20
Y	40	10

→ X: sugar : textiles
 $30 : 20$
 $1 : 20/30$
 $1 \text{ sugar} = 0.67 \text{ textiles}$

Y: sugar : textiles
 $40 : 10$
 $1 : 10/40$
 $1 = 0.25 \text{ textiles}$

Since it is bilateral trade,
X will have a comparative advantage in textiles
Y has a lower opportunity cost ratio in sugar, this means that it has a comparative advantage in sugar.

A- X has an absolute advantage in textiles

B- X has a comparative advantage in textiles also.

C- No, this is because Y produces a lower output of textiles than X.

D- This is correct as Y has a comparative advantage in sugar.

26-A:

* Let's assume that initially the price of the good is \$10.
 * After depreciation, the price remains the same, that is, \$10
 * Let's assume initially 5 goods were purchased by US citizens
 * The revenue was $(10 \times 5) = 50 \$$
 previously the ER was
 * $1 \$: 1 £$ (pound sterling)
 * This means **50 £** was earned

* After depreciation, the price and qty remained same
 * Still the revenue in \$ terms is \$50.
 * Now after depreciation, the ER is
 $1 \$: 2 £ \Rightarrow$ Each dollar can buy more pounds now
 * The revenue is $(50 \times 2) = 100 £$ (pound sterling) in sterling terms

→ Total revenue increases in sterling terms. (Option A)

27-D:

* If the rate of tariff is higher, the prices will increase by a relatively higher percentage.
 * The area of producer surplus is determined on the new qty supplied.

* This means that whether or not producer surplus increases depends upon how much change in quantity supplied has occurred

* In other words, it depends upon PES.

What determines the producer surplus that the tariff generates for domestic producers?

A the price elasticities of domestic supply and demand
 B the tariff rate and the price elasticities of both domestic demand and supply
 C the tariff rate and the price elasticity of domestic demand
 D the tariff rate and the price elasticity of domestic supply

↓ how much change in price
 ↓ how much change in quantity supplied.

28-D:

Expenditure switching policies represent **tools of protectionism**, the target of which is to switch the expenditure of domestic residents from imported goods to domestically manufactured goods.

A – An import quota is a physical limit on the qty of goods imported. Previously 100 cars were allowed to be imported, now after increasing the size of the quota, 150 cars were imported. This means that the level of protectionism is reduced, and import expenditures will increase, leading to a worsening effect on the current account.

B_ Increasing income tax allowances is a part of “fiscal policy”, which is not a switching policy.

C_ Increasing government spending is again a “fiscal policy”, which is not a switching policy.

D _ Increasing subsidies to domestic firms will reduce the prices of domestic **export-oriented products**, making them more competitive, which will encourage an extension in qty demanded of exported goods, leading to a rise in export revenues, subsequently helping to improve the current account position.

29-A:

A major tool government makes use of to reduce income inequalities is the system of taxation, that is, it increases progressive taxation, in the case of which, the avg rate of tax increases upon a rise in incomes, to take a greater proportion of incomes of the rich, for e. g, income taxes

They also reduce the regressive taxation, that is when the avg rate of tax decreases upon a rise in income, which means that they take up a greater proportion of income of the poor, for example: indirect tax

And the govts then make use of the funds collected from progressive taxation to provide transfer payments, that is unemployment benefits for example.

The only policy that makes use of taxation and govt spending is expansionary fiscal policy, therefore only option A can be correct.

30-A: It will be the most effective on the curve on which the price fall is the highest.

30 The diagram shows four possible aggregate supply curves and an equilibrium point X. A government employs deflationary fiscal policy in order to reduce the rate of inflation in its economy. This shifts aggregate demand to AD_2 .

With which AS curve would this policy be most effective?

The curve on which the price level falls the highest.

